

Course: “Business Challenges in Technologies, AI and Ethics”

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Case Study: “AI, Ethics, and GDPR: The Case of Italy vs OpenAI (2023–2026)”

Introduction:

In 2024, Italy became one of the first countries to take significant regulatory action against a generative AI company, fining OpenAI €15 million for violations of the General Data Protection Regulation (GDPR). The case represents a critical moment in the governance of artificial intelligence, highlighting tensions between rapid technological innovation and the protection of individual rights.

This case study examines the legal, ethical, and business implications of Italy’s action against OpenAI, focusing on the use of personal data in training large language models such as ChatGPT. It analyses the stakeholders involved, evaluates regulatory responses, and assesses whether the situation has improved by 2026. Ultimately, it explores what this evolving case reveals about the future of AI governance in Europe.

1. Case Background and Timeline:

The conflict between Italy’s data protection authority (Garante) and OpenAI began in March 2023, when ChatGPT was temporarily banned in Italy due to concerns over data privacy and user protection. OpenAI reinstated the service after approximately one month by updating its privacy disclosures and implementing certain safeguards.

Between 2023 and 2024, the Garante conducted a full investigation into OpenAI’s practices, focusing on several key issues:

- The use of personal data for training AI models without a clear legal basis
- Lack of transparency toward users
- Failure to notify a data breach
- Absence of adequate age verification for minors

In December 2024, the Garante issued a €15 million fine and required OpenAI to run a six-month public awareness campaign informing users about their data rights. OpenAI criticised the decision as disproportionate and filed an appeal.

In March 2025, an Italian court provisionally suspended the fine while reviewing the case. As of 2026, a final ruling is still pending, making this an ongoing and highly relevant regulatory case.

2. Core Issues:

Legal Issues

At the heart of the case is the question of whether OpenAI had a valid legal basis under GDPR to process personal data for training its models. GDPR requires that personal data be processed lawfully, transparently, and for a specific purpose. The Garante concluded that these requirements were not met.

Ethical Issues

The case raises fundamental ethical questions:

- Who owns the data used to train AI systems?
- Can meaningful consent be obtained for data scraped from the internet?
- What responsibilities do companies have to protect vulnerable users, particularly children?

Technological Issues

Large language models rely on vast datasets, often scraped from publicly available sources. While data may be publicly accessible, it does not automatically mean it can be legally or ethically reused. This creates tension between technical feasibility and regulatory compliance.

Business Challenges

For OpenAI and similar companies, the challenge is scaling globally while complying with different national regulations. The case illustrates the growing compliance risks businesses face when deploying AI systems in highly regulated environments like the European Union.

3. Stakeholders and Impact:

Several stakeholders are directly or indirectly affected:

- **Users:** Personal data may have been used without explicit consent, raising concerns about privacy and control.
- **Minors:** Lack of age verification exposed children to potentially inappropriate or unfiltered AI-generated content.
- **Businesses:** Companies using AI tools now face increased scrutiny and potential compliance risks.

- **Regulators:** Authorities such as the Garante, the European Data Protection Board (EDPB), and the Irish Data Protection Commission (DPC) play key roles in shaping enforcement.
- **AI Developers:** The case sets a precedent that may influence how AI systems are developed globally.

4. Regulatory Responses and Measures:

Several important measures have been taken:

- The €15 million fine imposed by the Italian Garante
- A mandatory six-month public awareness campaign on data protection rights
- The EDPB Opinion 28/2024, which provides guidance on AI and personal data
- The introduction of the EU AI Act, with key provisions from February 2025
- The shift of regulatory oversight to the Irish DPC, following OpenAI's establishment of its European headquarters in Ireland
- The provisional suspension of the fine by an Italian court in March 2025

These actions demonstrate increasing regulatory coordination across Europe but also highlight ongoing legal uncertainty.

5. Has the Situation Improved by 2026?

The situation has improved in some respects but remains unresolved.

On the positive side:

- Regulatory clarity has increased through EDPB guidance
- The EU AI Act introduces a structured legal framework for AI systems
- OpenAI has adjusted its policies and disclosures

However, significant issues remain:

- The €15 million fine is still under appeal
- Full compliance with GDPR requirements is not yet confirmed
- Key legal questions about the use of personal data in AI training remain unsettled

Overall, progress has been made, but the core accountability question is still open.

6. Ethical and Business Analysis:

From an ethical perspective, this case can be analysed using different frameworks:

- **Consequentialism:** While AI systems like ChatGPT provide significant benefits, these must be weighed against potential harms such as privacy violations and misuse of personal data.
- **Deontology:** GDPR reflects a duty-based approach, where respecting individual rights (such as consent and transparency) is essential regardless of outcomes.

From a business perspective, the case highlights:

- The importance of proactive compliance strategies
- The risks of reputational damage and financial penalties
- The need to integrate ethics into product development

Companies can no longer treat compliance as an afterthought; it must be embedded into the design and deployment of AI systems.

7. Personal Reflection:

This case is directly relevant to individuals who use AI tools. If personal data available online has been used to train AI systems, it raises concerns about awareness and consent. Many users are unaware of how their data may be collected and reused.

As a future professional, this case underscores the importance of understanding both technological capabilities and regulatory responsibilities. As a residence in the European Union, it highlights the protections offered by GDPR, but also the challenges of enforcing these rights in the context of rapidly evolving technologies.

Conclusion:

The Italy vs OpenAI case represents a landmark moment in the regulation of artificial intelligence. It illustrates the complex interaction between innovation, ethics, and legal accountability.

While regulatory frameworks have strengthened and awareness has increased, the case remains unresolved as of 2026. This uncertainty reflects the broader challenge of governing AI in a way that balances technological progress with fundamental rights.

Looking forward, this case suggests that the future of AI governance will depend on stronger international coordination, clearer legal standards, and a greater commitment by companies to ethical responsibility.

Primary sources to cite:

1. [edpb.europa.eu — Opinion 28/2024](#)
2. [garante.gov.it — OpenAI decision Dec 2024](#)
3. [EDPB national news](#)
4. [EU AI Act 2024/1689](#)
5. [Lewis Silkin analysis Jan 2025](#)
6. [IndexBox — court suspension Mar 2025](#)